

POONAWALLA FINCORP LIMITED

ANTI-MONEY LAUNDERING POLICY AND KYC NORMS

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Approved By: Board of Directors

Policy Owner: Compliance Function

The Company has in place Board approved Anti-Money Laundering Policy and KYC Norms. The Policy is proposed to be reviewed keeping in view of the RBI guideline.

This document is confidential in nature and supersedes all policy on Anti Money Laundering in the Company and should be read in conjunction with the most recent policies and procedures documented and held on file.

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Base Document	:	Prevention of Money Laundering Act, 2002, Prevention of Money-laundering (Maintenance of Records) Rules, 2005 including amendments thereof, read with Master Direction - Know Your Customer (KYC) Direction, 2016 as amended from time to time.
Initial Document Prepared by	:	Compliance Function
Functional aspects checked by	:	All vertical heads (Sales, Credit, Operation)
Governing Guideline/Policy	:	RBI Guidelines on KYC and AMLA
Regulatory & Legal aspects checked by	:	Ms. Manali Bhat, Mr. Pawan Lakhotia, Mr. Bholananda Behera

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BACKGROUND

The Prevention of Money Laundering Act 2002 (“**PMLA 2002**”) came into effect from 1 July 2005 through a Gazette of India notification of even date. As per the PMLA 2002 read with Prevention of Money-Laundering (Maintenance of Records) Rules, 2005 including any amendment thereof (PMLR 2005) (PMLA 2002 and PMLR 2005 will together refer to as “**PMLA**”), the offence of Money Laundering is defined as:

“Whosoever directly or indirectly attempts to indulge or knowingly assists or knowingly is a party or is actually involved in any process or activity connected with the proceeds of crime and projecting it as untainted property shall be guilty of offence of money-laundering. "Proceeds of crime" means any property derived or obtained, directly or indirectly, by any person as a result of criminal activity relating to scheduled offence or the value of any such property.”

The Reserve Bank of India (hereinafter the “**RBI**”), one of the regulatory agencies entrusted with the responsibility of driving the anti-money laundering initiatives advised NBFCs to follow certain customer identification procedure for opening of accounts and monitoring transactions of a suspicious nature for the purpose of reporting it to appropriate authority. The RBI revisited these guidelines from time to time keeping in view the recommendations of Financial Action Task Force (FATF) on Anti Money Laundering (AML) standards and on Combating Financing of Terrorism (CFT).

Poonawalla Fincorp Limited (the Company) shall carry out ‘Money Laundering (ML) and Terrorist Financing (TF) Risk Assessment’ exercise Annually to identify, assess and take effective measures to mitigate its money laundering and terrorist financing risk for clients, countries or geographic areas, products, services, transactions or delivery channels, etc.

The Company shall identify and assess the ML/TF risks that may arise in relation to the development of new products and new business practices, including new delivery mechanisms, and the use of new or developing technologies for both new and pre-existing products.

Further, the Company shall ensure:

- to undertake the ML/TF risk assessments prior to the launch or use of such products,
- practices, services, technologies; and
- adoption of a risk-based approach to manage and mitigate the risks through appropriate EDD measures and transaction monitoring, etc.

The assessment process should consider all the relevant risk factors before determining the level of overall risk and the appropriate level and type of mitigation to be applied. While preparing the internal risk assessment, the Company shall take cognizance of the overall sector- specific vulnerabilities, if any, that the regulator/ supervisor may share with the Company from time to time. The risk assessment by the Company shall be properly documented and be proportionate to the nature, size, geographical presence, complexity of activities/ structure, etc. of the Company.

Further, the periodicity of risk assessment exercise shall be determined by the Board of the Company, in alignment with the outcome of the risk assessment exercise. However, it should be reviewed at least annually.

The outcome of the exercise shall be put up to the Board or any committee of the Board to which power in this regard has been delegated and should be available to competent authorities and self-regulating bodies.

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The RBI came up with detailed guidelines based on the above and the instructions issued on Customer Due Diligence (CDD) for Non-banking Financial Companies by the Basel Committee on Banking Supervision. RBI advised NBFCs to ensure that a proper policy framework on 'Know Your Customer' and Anti-Money Laundering measures with the approval of the Board is formulated and put in place. Accordingly, Poonawalla Fincorp Limited ("**PFL**" / "**Company**") has put in place a Board approved Policy on Anti Money Laundering measures and KYC Norms ("**the Policy**"). Based on the experience gained over the past years, the Policy is proposed to be reviewed and improved keeping in view the Master Circular on the subject issued by RBI on 1 July 2014, the revised guidelines vide circular no RBI/2014-15/330 DNBR (PD).CC. No. 005/03.10.42/2014-15 dated 1 Dec 2014 and Know Your Customer (KYC) Direction, 2016, as amended from time to time, ("**RBI's Guidelines/Master Direction**") which is to be read along with the extant Directions issued by the RBI in this regard or any other applicable law in force. The Company shall further ensure compliance with the provisions of Prevention of Money-Laundering Act, 2002 ("**Act**") and the Prevention of Money-Laundering (Maintenance of Records) Rules, 2005 ("**Rules**"), as amended from time to time, including operational instructions issued in pursuance of such amendment(s).

PFL shall apply a Risk Based Approach (RBA) for mitigation and management of the risks (identified on their own or through national risk assessment) and should have Board approved policies, controls, and procedures in this regard. PFL shall implement a CDD programme, having regard to the ML/TF risks identified and the size of business. Further, PFL shall monitor the implementation of the controls and enhance them if necessary.

1. DEFINITION

"Aadhaar number", shall mean the Aadhaar number as defined in Aadhaar (Targeted Delivery of Financial and Other Subsidies, Benefits and Services) Act, 2016.

"Authentication," in the context of Aadhaar authentication, means the process as defined under sub-section (c) of section 2 of the Aadhaar (Targeted Delivery of Financial and Other Subsidies, Benefits and Services) Act, 2016.

"Beneficial Owner" ('BO') shall have the meaning as per table below:

Type of Customer	Persons to be considered Beneficial Owners (BOs)
Public / Private Limited Companies	a) A natural person having, whether alone or together, or through one or more juridical person, ownership of or entitlement to more than ten percent of shares or capital or profits of the company; or b) A natural person having, whether alone or together, or through one or more juridical person, right to appoint majority of directors or to control the management or policy decisions including by virtue of their shareholding or management rights or shareholders agreements or voting agreements; or c) Where none of the above is been identified – a natural person who holds the position of senior managing official.

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Type of Customer	Persons to be considered Beneficial Owners (BOs)
Partnership Firm	The natural person(s), who, whether acting alone or together, or through one or more juridical person, has/have ownership of/entitlement to more than 10 percent of capital or profits of the partnership or who exercises control through other means. Where the above is not been identified – a natural person who holds the position of senior managing official. Explanation - For the purpose of this sub-clause, “control” shall include the right to control the management or policy decision.
Unincorporated association of persons or body of individuals	a) A natural person having, whether alone or together, or through one or more juridical person, ownership of/ entitlement to more than fifteen percent of property or capital or profits of such association or body of individuals; or b) Where the above is not been identified – a natural person who holds the position of senior managing official.
Trust/ Foundation	a) The Author of the trust; or b) The Trustees of the Trust; or c) The Beneficiaries of the trust with ten percent or more interest in the trust; or d) A natural person exercising ultimate effective control over the trust through a chain of control or ownership. Provided that in case of a trust, the RE shall ensure that trustees disclose their status at the time of commencement of an account-based relationship or when carrying out following transactions. - Carrying out any international money transfer operations for a person who is not an account holder of the RE. - Carrying out transactions for a non-account-based customer, that is a walk-in customer, where the amount involved is equal to or exceeds rupees fifty thousand, whether conducted as a single transaction or several transactions that appear to be connected. When a RE has reason to believe that a customer (account- based or walk-in) is intentionally structuring a transaction into a series of transactions below the threshold of rupees fifty thousand.

Exemption from identification of BO: Where the customer or the owner of the controlling interest is (i) an entity listed on a stock exchange in India, or (ii) it is an entity resident in jurisdictions notified by the Central Government and listed on stock exchanges in such jurisdictions, or (iii) it is a subsidiary of such listed entities; it is not necessary to identify and verify the identity of any shareholder or beneficial owner of such entities.

“Certified Copy of OVD” - Obtaining a certified copy by the Company shall mean comparing the copy of officially valid document so produced by the customer with the original and recording the same on the copy by the authorised officer of the Company.

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“Central KYC Records Registry” (“CKYCR”) means an entity defined under Rule 2(1) of the Rules, to receive, store, safeguard and retrieve the KYC records in digital form of a customer.

“Customer” for the purpose of this Policy would have the same meaning as assigned to it under the RBI’s Guidelines on ‘Know Your Customer’ and Anti-Money Laundering Measures, as amended from time to time.

“Customer Due Diligence (CDD)” means identifying and verifying the customer and the Beneficial Owner using ‘Officially Valid Documents’ or ‘Identification Information’ as mentioned under RBI’s Guidelines, as a ‘proof of identity’ and a ‘proof of address’ in the manner provided under this Policy read along with the manner prescribed under the RBI’s Guidelines on Know Your Customer and Anti-Money Laundering Measures, as amended from time to time. PFL shall apply the CDD procedure at the UCIC level. Thus, in case an existing KYC compliant customer of the PFL desires to open another account or avail of any other product or service from PFL, there shall be no need for a fresh CDD exercise as far as identification of the customer is concerned

“Designated Director” means a person designated by the Company to ensure overall compliance with the obligations imposed under chapter IV of the PML Act and the Rules and shall include:

- a. The Managing Director or
 - b. a whole-time Director, duly authorized by the Board of Directors, if the RE is a company,
- Explanation - For the purpose of this clause, the terms "Managing Director" and "Whole-time Director" shall have the meaning assigned to them in the Companies Act, 2013.

“Digital KYC” means the capturing live photo of the customer and officially valid document or the proof of possession of Aadhaar, where offline verification cannot be carried out, along with the latitude and longitude of the location where such live photo is being taken by an authorised officer of the Company as per the provisions contained in the PMLA.

“Equivalent e-document” means an electronic equivalent of a document, issued by the issuing authority of such document with its valid digital signature including documents issued to the digital locker account of the customer as per Rule 9 of the Information Technology (Preservation and Retention of Information by Intermediaries Providing Digital Locker Facilities) Rules, 2016.

“Group” shall have the same meaning assigned to in clause (e) of sub section (9) of Section 286 of the Income Tax Act, 1961. The expression “group entity” shall be inferred accordingly.

“Non-face-to-face customers” means customers who open accounts without visiting the branch/offices of the Company or meeting the officials of the Company.

Note: Customers where either of the following is done will not be treated as non-face-to-face customer:

1. Customer has walked in into any branch(es)/ office(s) of PFL for making application of loan.
2. Customer is met by authorized agent of PFL physically (e.g., DSA or its employee(s) or FCU vendor).
3. Customer is met by PFL employee physically.
4. Video KYC is done.

“Non-Profit Organization” means an entity or organization, constituted for religious or charitable purposes referred to in clause(15) of Section 2 of the Income Tax Act, 1961(43 of 1961), that is registered as a trust or a society under the Society Registration Act, 1860 (21 of 1860) or any other similar State Legislation or a Company registered under the Section 8 of the Companies Act, 2013 (18

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of 2013).

“Officially Valid Documents (OVDs)” means the documents such as the passport, the driving license, proof of possession of Aadhaar number, the Voter's Identity Card issued by the Election Commission of India and the job card issued by NREGA duly signed by an officer of the State Government and letter issued by the National Population Register containing details of name and address.

Provided that:

- a. Where the customer submits his proof of possession of Aadhaar number as an OVD, he may submit it in such form as are issued by the Unique Identification Authority of India.
- b. Where the OVD furnished by the customer does not have updated address, the following documents shall be deemed to be OVDs for the limited purpose of proof of address:
 - i. utility bill which is not more than two months old of any service provider (electricity, telephone, post-paid mobile phone, piped gas, water bill);
 - ii. property or Municipal tax receipt;
 - iii. pension or family pension payment orders (PPOs) issued to retired employees by Government Departments or Public Sector Undertakings, if they contain the address
 - iv. letter of allotment of accommodation from employer issued by State Government or Central Government Departments, statutory or regulatory bodies, public sector undertakings, scheduled commercial banks, financial institutions and listed companies and leave and license agreements with such employers allotting official accommodation
- c. the customer shall submit OVD with current address within a period of three months of submitting the documents specified at ‘b’ above.
- d. where the OVD presented by a foreign national does not contain the details of address, in such case the documents issued by the Government departments of foreign jurisdictions and letter issued by the Foreign Embassy or Mission in India shall be accepted as proof of address.

Explanation: For the purpose of this clause, a document shall be deemed to be an OVD even if there is a change in the name subsequent to its issuance provided it is supported by a marriage certificate issued by the State Government or Gazette notification, indicating such a change of name.

“Offline Verification,” means the process of verifying the identity of the Aadhaar number holder without authentication, through such offline modes as may be specified by the Aadhaar regulations.

“Principal Officer” means an officer at the management level nominated by the Company, responsible for furnishing information as per rule 8 of the Rules. The name, designation and address of the Principal Officer shall be communicated to the FIU-IND.

“The Company” for the purpose of this Policy would mean Poonawalla Fincorp Limited.

“KYC Templates” means templates prepared to facilitate collating and reporting the KYC data to the KYCR, for individuals and legal entities.

“Video based Customer Identification Process (V-CIP)”:: an alternate method of customer identification with facial recognition and customer due diligence by an authorized official of the RE by undertaking seamless, secure, live, informed-consent based audio-visual interaction with the customer to obtain identification information required for CDD purpose, and to ascertain the veracity of the information furnished by the customer through independent verification and maintaining audit trail of the process. Such processes complying with prescribed standards and procedures shall be

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treated on par with face-to-face CIP for the purpose of the Master Direction.

2. IMPORTANT PROVISIONS UNDER PMLA

- The offense of money laundering is defined as “Whosoever directly or indirectly attempts to
- indulge or knowingly assists or knowingly is a party or is actually involved in any process or activity connected with the proceeds of crime and projecting it as untainted property shall be guilty of offence of money-laundering.”
- Punishment for Money Laundering is laid down as “whoever commits the offense of money laundering shall be punishable with rigorous imprisonment for a term which shall not be less than three years but may extend to seven years and shall also be liable to fine which may extend to five lakh rupees.”
- The Company shall:
 - Maintain a record of all transactions the nature and value of which may be prescribed, whether such transaction comprise of a single transaction or series of transactions integrally connected to each other and where such series of transactions take place within a month.
 - Furnish information of transactions referred to in the clause above to the Director (FIU- IND) within such time as may be prescribed.
 - Verify and maintain records of the identity of all its clients, in such a manner as may be prescribed.
 - Identify Beneficial Owner, if any, of such of its clients, as may be prescribed.
 - Maintain record of documents evidencing identity of its clients and Beneficial Owners as well as account files and business correspondence relating to its clients.
 - Where the Principal Officer of a banking company or financial institution or intermediary, as the case may be, has reason to believe that a single transaction or series of transactions integrally connected to each other have been valued below the prescribed value so as to defeat the provisions of this section, such officer shall furnish information in respect of such transactions to the Director-FIU IND within the prescribed time.
 - The records referred to above shall be maintained for a period of ten years from the cessation of the transactions between the clients and the banking company of financial institution or intermediary, as the case may be. However, details furnished to Director FIU-IND, documents related to identity and Beneficial Owner of the client shall be maintained permanently.
 - The reporting entities shall have “Designated Director” designated by the reporting entity to ensure overall compliance with the obligations imposed under chapter IV of the Act and the Rules thereof. The Designated Director can be any one of the Managing Director or a whole-time Director. However, in no case, the principal officer shall be nominated as the “Designated Director” for the purpose of this Policy. The name, designation and address of the Designated Director shall be communicated to the FIU- IND.
 - The Director-FIU IND may whether on his own or on an application made by an authority, officer or person call for records referred to above and may make such an inquiry or cause such inquiry to be made, as he thinks fit, with respect to obligations of the reporting entity.
- The Company shall, in consultation with its group entities, put in place systems for sharing information and for having necessary coordination to ensure discharge of obligations under Chapter IV of the PMLA.
- In case the Director-FIU IND, in the course of any inquiry, finds that a banking company, financial institution or intermediary or any of its officers has failed to comply with the provisions for maintenance of records, furnishing of information, verification of identity of customers etc., then without prejudice to any other action that may be taken under any other provisions of PMLA, Director – FIU-IND may, by an order, levy a fine on such banking company or financial institution or intermediary

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which shall not be less than ten thousand rupees but may extent to one lakh rupees for each failure.

3. KNOW YOUR CUSTOMER (KYC) STANDARDS

The Company's KYC standards would include the following elements:

3.1 Customer Acceptance Policy

The Company shall have the following customer acceptance policy:

- The Company shall not undertake any transaction with entity that has fictitious/ benami name(s) or where Company is unable to apply appropriate customer due diligence (CDD) measures.
- The Company shall not undertake a transaction or account-based relationship without following the CDD procedure and apply the same at the UCIC level. Thus, if an existing KYC compliant customer of the Company desires to open another account with the company, there shall be no need for a fresh CDD exercise.
- The Company shall follow the CDD process for all joint holders account also.
- Any information other than mandatory information required for obtaining account-based relationship with the customer may be obtained by the Company, after obtaining explicit consent of the customer for the same, wherever applicable.
- The Company shall ensure that the identity of the customer does not match with any person or entity, whose name appears in the sanctions lists circulated/and or recommended by the RBI.
- Where an equivalent e-document is obtained from the customer, the Company shall verify the digital signature as per the provisions of the Information Technology Act, 2000 ('IT Act').
- Where Goods and Services Tax (GST) details are available, the GST number shall be verified from the search/verification facility of the issuing authority.
- Where Permanent Account Number (PAN) is obtained, the same shall be verified from the verification facility of the issuing authority.
- Where Company forms a suspicion of money laundering or terrorist financing, and it reasonably believes that performing the CDD process will tip-off the customer, it shall not pursue the CDD process, and instead file an STR with FIU-IND.
- Circumstances in which a customer is permitted to act on behalf of another person/ entity, are clearly spelt out.
- PFL shall apply the CDD procedure at the UCIC level. Thus, in case an existing KYC compliant customer of the company desires to open another account or avail of any other product or service from the company, there shall be no need for a fresh CDD exercise as far as identification of the customer is concerned.

3.2 Accounts of Politically Exposed Persons (PEPs)

PFL shall have the option of establishing a relationship with PEPs (whether as customers or beneficial owner) provided that, apart from performing normal customer due diligence:

- PFL shall put in place appropriate risk management systems to determine whether the customer or the beneficial owner is a PEP.
- Reasonable measures are taken by the REs for establishing the source of funds / wealth.
- The approval to open an account for a PEP shall be obtained from the senior management.
- All such accounts are subjected to enhanced monitoring on an on-going basis.
- in the event of an existing customer or the beneficial owner of an existing account subsequently becoming a PEP, senior management's approval is obtained to continue the business relationship;

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The above requirements shall also be applicable to family members or close associates of PEPs.

Explanation: For the purpose of this paragraph, “Politically Exposed Persons” (PEPs) are individuals who are or have been entrusted with prominent public functions by a foreign country, including the Heads of States/Governments, senior politicians, senior government or judicial or military officers, senior executives of state-owned corporations and important political party officials.

3.3 Customer due diligence

- In case of an Individual customer, the Company shall obtain the following:
 - a. The proof of possession of Aadhaar number where offline verification can be carried out; or
 - b. The proof of possession of Aadhaar number where offline verification cannot be carried out or any OVD or the equivalent e-document thereof containing the details of his identity and address; or
 - c. PAN or the equivalent e-document thereof or Form No. 60 as defined in Income- tax Rules, 1962;
 - d. Such other documents including in respect of the nature of business and financial status of the Customer, or the equivalent e-documents thereof as may be required by the Company:

Provided that where the customer has submitted:

Aadhaar number as per master direction on KYC to a bank or to a RE notified under first proviso to sub-section (1) of section 11A of the PML Act, such bank or RE shall carry out authentication of the customer’s Aadhaar number using e-KYC authentication facility provided by the Unique Identification Authority of India. Further, in such a case, if a customer wants to provide a current address, different from the address as per the identity information available in the Central Identities Data Repository, he may give self-declaration to that effect to the company

- i) proof of possession of Aadhaar as above where offline verification can be carried out, the Company shall carry out offline verification;
- ii) an equivalent e-document of any OVD, the Company shall verify the digital signature as per the provisions of the Information Technology Act, 2000 and take a live photo as specified under **Annexure I – Digital KYC**; and
- iii) any OVD or proof of possession of Aadhaar number as above, where offline verification cannot be carried out, the Company shall carry out verification through digital KYC as specified under **Annexure I – Digital KYC**.
- iv) KYC Identifier, retrieving the KYC records online from the CKYCR in accordance process as specified in this policy.

Offline verification of Aadhaar can be accomplished by two means: Via the QR code on Aadhaar card & E-Aadhaar PDF.

By downloading Offline Aadhaar file (a password protected ZIP file containing an XML file) from UIDAI’s website which shall be verified through OTP sent to the mobile number of the customer.

Detailed process for carrying out offline verification of Aadhaar is listed at Annexure III.

Provided that for a period not beyond such date as may be notified by the Government for a class of company, instead of carrying out digital KYC, the Company pertaining to such class may obtain a certified copy of the proof of possession of Aadhaar number or the OVD and a recent photograph where an equivalent e document is not submitted.

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The Company shall, where its customer submits a proof of possession of Aadhaar Number containing Aadhaar Number, ensure that such customer redacts or blacks out his Aadhaar number through appropriate means where the authentication of Aadhaar number is not required.

- In the case customer is a proprietorship firms, CDD of proprietor's shall be carried out in the same manner as provided above. In addition to the above, any of the following two documents or equivalent e-documents as proof of business/ activity in the name of the proprietary firm shall also be obtained:
 - Proof of the name, address and activity of the firm, namely Registration Certificate (if registered) including Udyam Registration Certificate (URC) issued by the Government, Import & Export issued to the proprietary concern by the office of DGFT, Shops & Establishment Certificate, Sales and Income Tax Returns, CST/ VAT/GST Certificate (provisional/ final), etc.
 - Any registration/ licensing document issued in the name of the firm by the Central Government or State Government Authority/ Department.
 - The complete ITR including the acknowledgement, issued in the name of the sole proprietor wherein the firm's income is reflected, duly authenticated/acknowledged by the IT Authorities.
 - Utility bills namely electricity/ water/ landline/ telephone bills issued in the name of the firm.
 - Importer Exporter Code (IEC) issued to the proprietary concern by the office of DGFT or License/certificate of practice issued in the name of the proprietary concern by any professional body incorporated under a statute.
 - In cases where it is not possible to furnish any two of the above documents, the Company may accept any one of above stipulated document subject to field investigation done for the proprietorship firm. *Provided the Company undertake contact point verification and collect such other information and clarification as would be required to establish the existence of such firm and shall confirm and satisfy itself that the business activity has been verified from the address of the proprietary concern.*
- In the case of firms reconstituted and the companies that changed the name within the past two years, the CDD would be enhanced.
- In case customer is a company, certified copies of each of the following documents or the equivalent e-documents thereof shall be obtained:
 - Certificate of incorporation;
 - Memorandum and Articles of Association;
 - PAN of the company;
 - A resolution from the Board of Directors and power of attorney granted to its managers, officers, or employees who would be authorized to operate the account or to transact on its behalf; and
 - Documents, of beneficial owners, the managers, officers, or employees, as the case may be, holding an attorney to transact on the company's behalf in the manner as mentioned in the Policy.
 - the names of the relevant persons holding senior management position;
 - the details of registered office and the principal place of its business if it is different.
- In case customer is a partnership firm, the certified copies of each of the following documents or the equivalent e-documents thereof shall be obtained:
 - Registration certificate as proof of registration of the firm;
 - Partnership deed;
 - PAN of the partnership firm;
 - Documents, of beneficial owner, managers, officers, or employees, as the case may be, holding an attorney to transact on its behalf in the manner as mentioned in the Policy.
 - the names of all the partners and address of the registered office, and the principal place of its business, if it is different.
- In case customer is a Trust, certified copies of each of the following documents or the equivalent e-documents thereof shall be obtained:

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- o Registration certificate;
- o Trust deed;
- o Permanent Account Number or Form No.60 of the trust; and
- o Documents, of beneficial owner, managers, officers, or employees, as the case may be, holding an attorney to transact on its behalf in the manner as mentioned in the Policy.
- o the names of the beneficiaries, trustees, settlor and authors of the trust and the address of the registered office of the trust; and
- o list of trustees and documents as are required for individuals under sub-rule (4) for those discharging role as trustee and authorized to transact on behalf of the trust.”;
- In case the customer is an unincorporated association or a body of individuals, certified copies of each of the following documents or the equivalent e-documents thereof shall be obtained:
 - o Resolution of the managing body of such association or body of individuals;
 - o PAN or Form No. 60 of the unincorporated association or a body of individuals;
 - o Power of attorney granted to transact on its behalf;
 - o Documents, of beneficial owner, managers, officers, or employees, as the case may be, holding an attorney to transact on its behalf in the manner as mentioned in the Policy; and
 - o Certificate 80G and/or 12A, if any.
- In case of Non-For Profit Organization, the Company shall register the details of such customer on the DARPAN Portal of NITI Aayog, if not already registered, and maintain such registration records for a period of five years after the business relationship with the customer has ended or the account has been closed, whichever is later.
- For opening accounts of juridical persons not specifically covered in the earlier part, such as societies, universities and local bodies like village panchayats etc., or who purports to act on behalf of such juridical person or individual or trust, certified copies of the following documents or the equivalent e-documents thereof shall be obtained and verified:
 - o Document showing name of the person authorized to act on behalf of the entity;
 - o Documents, as specified in Section 16, of the person holding an attorney to transact on its behalf; and
 - o Such documents as may be required by the Company to establish the legal existence of such an entity/juridical person.
- For all the customers irrespective of the risk categorization, the Company would undertake following customer acceptance procedure without fail:
 - o Internal dedupe - Checking the internal records of the Company to confirm about any past dealings of the customer with the Company either as borrower, co- borrower or guarantor;
 - o External dedupe – Verifying with the data base maintained by at least one RBI approved credit information bureau; Trade reference check in the case of commercial lending; and
 - o Tele verification with the Customer and underwriting.
- For risk categorization of the customers, the Company shall lay down broad principles.
- Risk categorization shall be undertaken based on parameters such as customer’s identity, social/financial status, nature of business activity, and information about the customer’s business and their location, geographical risk covering customers as well as transactions, type of products/services offered, delivery channel used for delivery of products/services, types of transaction undertaken – cash, cheque/monetary instruments, wire transfers, forex transactions, etc. While considering customer’s identity, the ability to confirm identity documents through online or other services offered by issuing authorities may also be factored in.
- *High risk accounts have to be subjected to more intensified monitoring”*
- The risk categorization of a customer and the specific reasons for such categorization shall be kept confidential and shall not be revealed to the customer to avoid tipping off the customer.
- Documentation requirements and other information to be collected in respect of different categories of Customers depending on perceived risk and keeping in mind the requirements of PMLA and guidelines issued by the RBI from time to time.

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- The Company shall not start or close a business transaction where the Company is unable to apply appropriate CDD measures i.e., the Company is unable to verify the identity and/or obtain documents required as per the risk categorization due to non-cooperation of the Customer or non-reliability of the data/information furnished to the company. It may, however, be necessary to have suitable built-in safeguards to avoid harassment of the Customer.
- The identity of the Customer does not match with any person with known criminal background or with banned entities such as individual terrorists or terrorist organizations etc., as approved by the Security Council Committee established pursuant to various United Nations' Security Council Resolutions (UNSCRs).
- Proof of possession of Aadhaar number (with specific consent of the customer) and copy of the PAN Card (Form 60 in case the Customer does not have a PAN) shall be obtained from all new individual customers (from each party to the Agreement) and authorized Signatory of Legal Entity while establishing an account-based relationship. In case Aadhaar number has not been assigned to an individual, proof of application of enrolment for Aadhaar shall be obtained wherein the enrolment is not older than 6 months and certified copy of an OVD containing details of identity and address and one recent photograph shall be obtained.
- The documents to be obtained from Individual not eligible to be enrolled for an Aadhaar, or a person who is not a resident shall be PAN or Form 60 (in case the Customer does not have a PAN), as amended from time to time, one recent photograph and certified copy of OVD containing details of identity and address.
- If an existing KYC compliant Customer desires to open another account, there would be no need for submission of fresh proof of identity and/ or proof of address for the purpose.
- The System should be in place to capture Customer classification from the Money Laundering perspective including flagging of negative profile customers, terrorist organizations as approved by the Security Council Committee established pursuant to various United Nations' Security Council Resolutions (UNSCRs) etc.
- Accounts opened using Aadhaar OTP based e-KYC, in non-face-to-face mode, would be subjected to the following conditions:
 - i. There must be specific consent from the customer for authentication through OTP.
 - ii. As a risk-mitigating measure for such accounts, Company shall ensure that transaction alerts, OTP, etc., are sent only to the mobile number of the customer registered with Aadhaar. REs shall have a board approved policy delineating a robust process of due diligence for dealing with requests for change of mobile number in such accounts.
 - iii. The aggregate balance of all the deposit accounts of the customer shall not exceed rupees one lakh. In case, the balance exceeds the threshold, the account shall cease to be operational, till CDD as mentioned at (v) below is complete.
 - iv. The aggregate of all credits in a financial year, in all the deposit accounts taken together, shall not exceed rupees two lakh.
 - v. As regards borrowal accounts, only term loans shall be sanctioned. The aggregate amount of term loans sanctioned shall not exceed rupees sixty thousand in a year.
 - vi. Accounts, opened using OTP based e-KYC shall not be allowed for more than one year unless identification as per this Policy is carried out.
 - vii. If the CDD procedure as mentioned above is not completed within a year no further debits shall be allowed.
 - viii. A declaration shall be obtained from the customer to the effect that no other account has been opened nor will be opened using OTP based KYC in non-face-to-face mode with any other RE. Further, while uploading KYC information to CKYCR, the company shall clearly indicate that such

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accounts are opened using OTP based e-KYC and other REs shall not open accounts based on the KYC information of accounts opened with OTP based e-KYC procedure in non-face-to-face mode.

- ix. REs shall have strict monitoring procedures including systems to generate alerts in case of any non-compliance/violation, to ensure compliance with the above mentioned conditions.

3.4 Customer identification procedure

- The Company shall ensure adherence of Customer Identification Procedure as prescribed by the Reserve Bank of India from time to time. The Company would obtain the KYC documents whenever there is doubt about the authenticity/veracity or the adequacy of the previously obtained Customer identification data. The Company would satisfy itself about current address by obtaining required proof. The Company also have the process of allotting Unique Customer Identification Code (UCIC), after carrying out the CDD process, for easy identification of all the relationships of any Customer with the Company.
- Information collected for the purpose of opening of account would be kept as confidential and would not be divulged to outsiders for cross selling or any other purpose other than for the statutory requirement of sharing the Customer account details with at least one credit information agency approved by the RBI. Information sought from the Customer would be relevant to the perceived risk and would not be intrusive.
- The Beneficial Owner in the case of trust, partnership and Joint stock companies would be reckoned in pursuance of this Policy.
- For the purpose of verifying the identity of customers at the time of commencement of an account-based relationship, Company, shall at their option, rely on customer due diligence done by a third party, subject to the following conditions:
 - Records or the information of the customer due diligence carried out by the third party shall be obtained within two (2) days from such third party or from the Central KYC Records Registry.
 - Adequate steps are taken by Company to satisfy themselves that copies of identification data and other relevant documentation relating to the customer due diligence requirements shall be made available from the third party upon request without delay.
 - The third party is regulated, supervised, or monitored for, and has measures in place for, compliance with customer due diligence and record-keeping requirements in line with the requirements and obligations under the PMLA.
 - The third party shall not be based in a country or jurisdiction assessed as high risk.
 - The ultimate responsibility for customer due diligence and undertaking enhanced due diligence measures, as applicable, will be with the Company.
- The Company may carry out Video based Customer Identification Process (V-CIP) as a consent-based alternate method of establishing the customer's identity, for customer onboarding. V-CIP shall be carried out in the manner provided in the **Annexure II** of this Policy.

3.5 Monitoring of Transactions –

- The Company would continue to maintain proper record of all cash transactions of Rs.10 lakh and above and have in place centralized internal monitoring system at head office. The Company shall obtain copy of Aadhar Card and PAN of all the Customers for cash transaction of Rs. 50,000/- or more entered into with them. In case a Customer does not have a PAN, Form 60, duly signed by the Customer along with a valid identity proof and signature proof, should be accepted.
- For cash deposits of Rs 50,000/- or more made by any Third Party on behalf of the customer, an Authorization letter and self-attested PAN of the customer (in case the Customer does not have a PAN, Form 60 in lieu thereof) along with an I.D. proof of the person depositing the cash shall be obtained.
- During sale of Repossessed assets, copy of the PAN Card or Form 60 (in case the Customer does not have a PAN), shall be obtained from the buyer of the vehicle in case the consideration amount is in

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excess of Rs. 50,000/- and is being paid in cash.

- The Company would strive to have an understanding of the normal and reasonable activity of the Customer through personal visits and by observing the transactions and conduct of the account in order to identify transactions that fall outside the regular pattern of activity – unusual transactions.
- For the simplicity of data capture, the following transactions would be considered as unusual transactions deserving special attention. Such customers' accounts would be treated as "Medium/ High Risk," after review of the unusual transactions by the Principal Officer – PMLA.
 - Repeated pre-termination of loan accounts of size exceeding Rs.10 lacs; times during a span of 6 months; and
 - Total cash received from a customer exceeding Rs 50 lacs in a financial year or Rs. 25 lakhs in a month.
- Being an NBFC, the Company is not empowered to seize any counterfeit currency like in the case of banks. However, the following incidents of counterfeit currency at the cash counters would be recorded and repeated occurrence would be reported.
 - Bulk counterfeit currency of more than 10 pieces at a time; and
 - Repeated event within a week from a collection executive or Customer.
- All such transactions would be reported to and reviewed by Principal Officer – PMLA who would enquire into the matter and decide whether the transaction would qualify to be termed as a suspicious transaction. When it is believed that we no longer are satisfied that we know the true identity of the account holder, STR would be filed with FIU-IND. The Principal Officer - PMLA would file the Suspicious Transaction Report (STR) with the Director, Financial Intelligence Unit-India (FIU-IND) within seven (7) days of identifying them. After filing STR, transactions would be allowed to be continued in the account unhindered and the Customer would not be tipped in any manner.
- All CTR/ STR would be filed electronically or as per the norms stipulated by FIU-IND from time to time. The STR would be filed even for attempted suspicious transactions.
- List of individuals and entities, approved by UN Security Council Committee and circulated by RBI would be updated and the list would be available at every office entrusted with the responsibility of customer acceptance and would be verified before opening an account. Financial Action Task Force (FATF) statements regarding countries with deficient AML/CFT would be verified and caution would be exercised with Customers who conduct business activities in these countries.
- The Company has a laid down Document Retention policy which would be reviewed periodically to be in compliance with the requirements of PMLA. The following documents/ records would be held for a period of 10 years:
 - Records with respect to the cash transactions of value of more than Rs. 10 lacs;
 - Records with respect to series of cash transactions integrally connected to each other of more than Rs.10 lacs within a month;
 - Records with respect to transactions where counterfeit currency notes have been used;
 - Records with respect to all suspicious transactions; and
 - KYC documents after the business relationship ending.
- The documents/ records maintained would hold the following information:
 - Nature of transaction;
 - Amount of the transaction;
 - Date on which the transaction was conducted; and
 - The parties to the transaction.
- All the units reporting the unusual transactions to Principal Officer – PMLA would be subjected to audit by the Internal Audit Department.

3.6 Risk Management

- The following elements would manage the Risk arising out of the non-compliance to PMLA:

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- The Board would ensure that an effective KYC/ AML program is put in place by establishing appropriate procedures and ensure their effective implementation.
- All the Customers would be classified under three heads viz. Low Risk, Medium Risk and High Risk. Risk parameters for risk categorization of customers is appended as Exhibit - 1 in this Policy.
- Internal Audit and Compliance function would evaluate and ensure adherence to the KYC policies and procedures and provide independent evaluation of the Company's own policies and procedures, including legal and regulatory requirements. Concurrent/ Internal Auditors should specifically check and verify the application of KYC procedures at the branches and comment on the lapses observed in this regard. The compliance in this regard would be put up before the Audit Committee of the Board on a quarterly basis.
- The Company shall undertake on-going due diligence of customers to ensure that their transactions are consistent with their profiles declared to the Company at the time of onboarding, customers' business and risk profile, and the source of funds. The extent of monitoring shall be aligned with the risk category of the customer. A periodic review of risk categorization of accounts will be carried out at least once in six months and would be based on exception reporting like adverse reports, Google alerts and other market information, etc. In case no adverse information is received in this regard, the existing classification of the customer will continue.
- The Company would have an on-going employee training programme with KYC/AML focuses for frontline staff, compliance staff and staff dealing with new Customers and educating them with respect to the objectives of the KYC Programme.
- Periodical updation of Customer identification data would be taken up once in 10 (ten) years for low-risk Customers, once in 8 (eight) years for medium risk Customers and once in 2 (two) years for high-risk Customers as per the following procedure.
- The Company shall carry out:
 - CDD at the time of periodic updation. However, in the case of low-risk customers when there is no change in status with respect to their identities and addresses, a self- certification to that effect shall be obtained.
 - In case of Legal entities, the Company shall review the documents sought at the time of opening of account and obtain fresh certified copies.
- Further, where the customer has updated any KYC records, he / she shall submit to the Company updated document within 30 days of such updation The Company shall ensure to provide acknowledgment with date of having performed KYC updation.
- In case of existing customers, the Company shall obtain the Permanent Account Number or equivalent e-document thereof or Form No.60, by such date as may be notified by the Central Government, failing which the Company will not take additional exposure on such customer, till the time the Permanent Account Number or equivalent e-documents thereof or Form No. 60 is submitted by the customer.
- The Company shall adopt a risk-based approach for periodic updation of KYC. However, periodic updation shall be carried out at least once in every two years for high-risk customers, once in every eight years for medium risk customers and once in every ten years for low-risk customers from the date of opening of the account/ last KYC updation.

a) Individual Customers:

- i. No change in KYC information: In case of no change in the KYC information, a self-declaration from the customer in this regard shall be obtained through customer's email-id registered with the Company, customer's mobile number registered with the Company, ATMs, digital channels (such as online banking / internet banking, mobile application of Company), letter, etc.
- ii. Change in address: In case of a change only in the address details of the customer, a self-declaration of the new address shall be obtained from the customer through customer's email-id registered with the Company, customer's mobile number registered with the Company, ATMs, digital channels (such as online banking / internet banking, mobile application of Company), letter etc., and the declared

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address shall be verified through positive confirmation within two months, by means such as address verification letter, contact point verification, deliverables etc.

Further, the Company, may also obtain a copy of OVD or deemed OVD or the equivalent e-documents thereof, as defined in paragraph 3(a)(xiv) and as defined in paragraph 3(a)(x) of the Master Direction, for the purpose of proof of address, declared by the customer at the time of periodic updation.

- iii. Accounts of customers, who were minor at the time of opening account, on their becoming major: In case of customers for whom account was opened when they were minor, fresh photographs shall be obtained on their becoming a major and at that time it shall be ensured that CDD documents as per the current CDD standards are available with the Company. Wherever required, the Company may carry out fresh KYC of such customers i.e., customers for whom account was opened when they were minor, on their becoming a major.
- iv. Aadhaar OTP based e-KYC in non-face to face mode may be used for periodic updation. To clarify, conditions stipulated in paragraph 17 of the Master Direction on KYC/ are not applicable in case of updation / periodic updation of KYC through Aadhaar OTP based e-KYC in non-face to face mode.
- v. Declaration of current address, if the current address is different from the address in Aadhaar, shall not require positive confirmation in this case. REs shall ensure that the mobile number for Aadhaar authentication is same as the one available with them in the customer's profile, in order to prevent any fraud.

b) Customers other than individuals:

- i. No change in KYC information: In case of no change in the KYC information of the LE customer, a self-declaration in this regard shall be obtained from the LE customer through its email id registered with the Company, ATMs, digital channels (such as online banking/ internet banking, mobile application of the Company), letter from an official authorized by the LE in this regard, board resolution etc. Further, the Company shall ensure during this process that Beneficial Ownership (BO) information available with them is accurate and shall update the same, if required, to keep it as up to date as possible.
- ii. Change in KYC information: In case of change in KYC information, the Company shall undertake the KYC process equivalent to that applicable for on boarding a new LE customer.

c) Additional measures:

The Company shall also ensure that,

- i. The KYC documents of the customer as per the current CDD standards are available with them. This is applicable even if there is no change in customer information but the documents available with the Company are not as per the current CDD standards. Further, in case the validity of the CDD documents available with the Company has expired at the time of periodic updation of KYC, the Company shall undertake the KYC process equivalent to that applicable for on boarding a new customer.
 - ii. Customer's PAN details, if available with the Company, is verified from the database of the issuing authority at the time of periodic updation of KYC.
 - iii. Acknowledgment is provided to the customer mentioning the date of receipt of the relevant document(s), including self-declaration from the customer, for carrying out periodic updation. Further, it shall be ensured that the information/ documents obtained from the customers at the time of periodic updation of KYC are promptly updated in the records/ database of the Company and an intimation, mentioning the date of updation of KYC details, is provided to the customer.
 - iv. The Company may obtain recent photograph as a part of periodic updation.
 - v. The Company may also require the customer to visit the branch for periodic updation of KYC.
- The Company shall advise the customers that in order to comply with the PMLA Rules, in case of any

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update in the documents submitted by the customer at the time of establishment of business relationship / account-based relationship and thereafter, as necessary; customers shall submit to the REs the update of such documents. This shall be done within 30 days of the update to the documents for the purpose of updating the records by the Company.

- The Head of Compliance Function or any other senior Compliance Officer shall be appointed as the Principal Officer – PMLA, who would report to the Managing Director / Designated Director for KYC / AML related function.. The Principal Officer – PMLA would perform the following duties:
 - Develop effective Anti-Money Laundering programs, including training programs.
 - Assist business in assessing how the System can be abused.
 - Identify suspicious activities..
 - Monitor implementation of this Policy.
 - Submit reports to statutory bodies, management and maintain liaison.
 - Ensure verification of KYC/ AML compliance by the front desk staff/officers.

3.7 Enhanced Due Diligence (EDD) for non-face-to-face Customer Onboarding (other than customer onboarding through OTP based e-KYC)

Non-face-to-face onboarding facilitates the Company to establish relationship with the customer without meeting the customer physically or through V-CIP. Such non-face-to-face modes for the purpose of this paragraph includes use of digital channels such as CKYCR, Digi Locker, equivalent e-document, etc., and non-digital modes such as obtaining copy of OVD certified by additional certifying authorities as allowed for NRIs and PIOs.

Following EDD measures shall be undertaken by REs for non-face-to-face customer onboarding (other than customer onboarding in terms of paragraph 17):

- a) In case the Company has introduced the process of V-CIP, the same shall be provided as the first option to the customer for remote onboarding. The processes complying with prescribed standards and procedures for V-CIP shall be treated on par with face-to-face CIP for the purpose of this Master Direction.
- b) In order to prevent frauds, alternate mobile numbers shall not be linked post CDD with such accounts for transaction OTP, transaction updates, etc. Transactions shall be permitted only from the mobile number used for account opening. The Company has put in place a policy as an Annexure – III delineating a robust process of due diligence for dealing with requests for change of registered mobile number.
- c) Apart from obtaining the current address proof, Company shall verify the current address through positive confirmation before allowing operations in the account. Positive confirmation may be carried out by means such as address verification letter, contact point verification, deliverables, etc.
- d) The company shall obtain PAN from the customer and the PAN shall be verified from the verification facility of the issuing authority.
- e) First transaction in such accounts shall be credit from existing KYC-complied bank account of the customer.
- f) Such customers shall be categorized as high-risk customers and accounts opened in non-face to face mode shall be subjected to enhanced monitoring until the identity of the customer is verified in face-to-face manner or through V-CIP.

4. CDD PROCEDURE AND SHARING KYC INFORMATION WITH CENTRAL KYC RECORDS REGISTRY (CKYCR)

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- The Company shall capture the KYC information for sharing with the CKYCR in the manner mentioned in the Rules, RBI Guidelines issued from time to time, as required by the KYC templates prepared for 'individuals' and 'Legal Entities' as the case may be. The Company shall at the time of receipt of the Aadhaar number, shall carry out, with the explicit consent of the Customer, e-KYC authentication (biometric or OTP based) or Yes/No authentication.
- Yes/No Authentication if carried out for existing A/c then E-KYC Authentication (Biometric or OTP based) has to be done within 6 months of Yes/No authentication. Yes/No authentication cannot be done for a new on boarding customer.
- Accounts, both deposit and borrowal, opened using OTP based e-KYC shall not be allowed for more than one year unless identification as per paragraph 16 of RBI- Master Direction - Know Your Customer (KYC) Direction, 2016 (Updated as on May 10, 2021) (RBI KYC Directions) or as per paragraph 18 (V-CIP) of Chapter VI, Part I - Customer Due Diligence (CDD) of RBI KYC Directions- Procedure in case of Individuals is carried out, If Aadhaar details are used under paragraph 18, the process shall be followed in its entirety including fresh Aadhaar OTP authentication.
- The Company shall capture customer's KYC records and upload onto CKYCR within 10 days of commencement of an account-based relationship with the customer.
- The Company shall upload KYC records pertaining to accounts of Legal Entities opened on or after April 1, 2021, with CKYCR in terms of the provisions of the Rules ibid. The KYC records have to be uploaded as per the LE Template released by CERSAI.
- Once KYC Identifier is generated by CKYCR, the Company shall ensure that the same is communicated to the individual/LE as the case may be.
- In order to ensure that all KYC records are incrementally uploaded on to CKYCR, the company shall upload/update the KYC data pertaining to accounts of individual customers and LEs opened prior to the above-mentioned dates as per clauses (e) and (f), respectively, at the time of periodic updation as specified in paragraph 38 of this Master Direction, or earlier, when the updated KYC information is obtained/received from the customer.
Further, whenever the company obtains additional or updated information from any customer as per clause (j) below in this paragraph or Rule 9 (1C) of the PML Rules, the company shall within seven days or within such period as may be notified by the Central Government, furnish the updated information to CKYCR, which shall update the KYC records of the existing customer in CKYCR. CKYCR shall thereafter inform electronically all the reporting entities who have dealt with the concerned customer regarding updation of KYC record of the said customer. Once CKYCR informs the company regarding an update in the KYC record of an existing customer, the company shall retrieve the updated KYC records from CKYCR and update the KYC record maintained by the company.
- The company shall ensure that during periodic updation, the customers are migrated to the current CDD standard.
- For the purpose of establishing an account-based relationship, updation/ periodic updation or for verification of identity of a customer, the company shall seek the KYC Identifier from the customer or retrieve the KYC Identifier, if available, from the CKYCR and proceed to obtain KYC records online by using such KYC Identifier and shall not require a customer to submit the same KYC records or information or any other additional identification documents or details, unless—
 - i. there is a change in the information of the customer as existing in the records of CKYCR; or
 - ii. the KYC record or information retrieved is incomplete or is not as per the current applicable KYC norms; or
 - iii. the validity period of downloaded documents has lapsed; or
 - iv. the company considers it necessary in order to verify the identity or address (including current

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address) of the customer, or to perform enhanced due diligence or to build an appropriate risk profile of the customer.

5. OBLIGATIONS UNDER THE UNLAWFUL ACTIVITIES (PREVENTION) (UAPA) ACT, 1967 AND WEAPONS OF MASS DESTRUCTION (WMD) AND THEIR DELIVERY SYSTEMS (Prohibition of Unlawful Activities) Act, 2005 (WMD Act, 2005)

The Company shall ensure compliance with requirements as stated in Annexure V to this policy.

6. REPORTING OF INFORMATION WITH THE FIU-IN

The Company will make necessary arrangements from time to time to ensure compliance with the various reporting requirements as per the RBI's Guidelines on "Know Your Customer" and Anti-Money Laundering Measures or any other applicable law in force.

7. CUSTOMER RISK CATEGORISATION

A. Background

RBI KYC regulations require categorization of customers as "**High / Medium / Low**" based on their assessment and risk perception. Risk categorization shall be undertaken based on parameters such as customer's identity, nature of business activity, and sourcing channel among other factors.

B. Objective

The objective of this document is to define the various parameters basis which a customer can be categorized as High/Medium/Low at the time of loan origination for the purpose of RBI KYC guidelines. The Customer Risk Categorization must be appropriately captured in system as per the parameters defined in this document.

C. Parameters for High-Risk Customer

While processing the loan application, if any **Applicant/Co-Applicant/Guarantor** as Individual/Non-Individual, considered part of the loan structure, falls under any of the below parameters, then the said customer will be categorized as "**High**" i.e., **High Risk Customer**.

HIGH RISK Customers
Politically exposed Persons (PEPs) as provided in the KYC Policy of the Company.
Firms with sleeping partners - "Sleeping Partner" - A sleeping partner is a person who provides some of the capital for a business but who does not take an active part in managing the business. The same is some time specified in the Partnership Deed of the firm.
Shell companies which have no physical presence in branch locations. The existence simply of a local agent or low-level staff does not constitute physical presence.
Client accounts are managed by professional service providers such as law firms, agents, brokers, fund managers, trustees, custodians etc.
Trusts, Charities, NGOs, Unregulated clubs, and organizations receiving donations

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Customers that may appear to be multilevel marketing companies etc.
Pawn brokers
Real Estate Developers
Non-Face to Face: as provided in the KYC Policy of the Company.
Non-Resident Indian (NRI)

D. Parameters for Medium-Risk Customer

While processing the loan application, if any **Applicant/Co-Applciant/Guarantor** as Individual/Non-Individual, considered part of the loan structure, falls under any of the below parameter, then the said customer will be tagged categorized as “**Medium**” i.e., **Medium Risk Customer**.

MEDIUM RISK Customers
Deals in Gemstones, Jewelry, precious metal as dealers/broker/exporters/franchises etc. / Bullion Traders
Deals in Art and Antique items
All type of auction houses, Real Estate agents / brokers

E. Parameters for Low-Risk Customer

While processing the loan application, if any **Applicant/Co-Applciant/Guarantor** as Individual/Non-Individual, considered part of the loan structure do not fall under high risk / medium risk as mentioned above then the said customer will be tagged categorized as “**Low**” i.e., **Low Risk Customer**.

8. REVIEW AND AMENDMENT IN THE POLICY

The Board of Directors and/or Risk Management Committee (if powers are delegated by the Board to Risk Management Committee) shall review and amend this Policy and the risk categorization parameters forming the part of said policy; in the event of any update/ changes pursuant to amendments in RBI Guideline's, or any business requirements subject to applicable regulations and the Policy shall be reviewed at least annually.

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9. CHANGE CONTROL SHEET

Version No.	Change request by	Memorandum of Change	Approval date
2.0	D. Krishnaraj	To align with revised RBI Guidelines	04.02.2015
3.0	Kailash Baheti	To align with revised RBI Guidelines	01.08.2015
4.0	Gauri Shankar Agarwal & Atul Tibrewal	To align with revised RBI Guidelines	12.05.2016
5.0	Atul Tibrewal	To comply with the requirements of RBI	03.11.2016
6.0	Compliance Officer	To comply with the requirements of RBI	09.11.2017
7.0	Compliance Officer	To comply with the requirements of RBI	09.05.2018
8.0	Internal Auditor & Risk Team	To comply with the requirements of Internal Audit team	31.01.2019
9.0	Compliance Officer	To include amendment, vide notification. dated 09.01.2020	31.01.2020
-	-	Name of the Company changed to Poonawalla Fincorp Limited w.e.f. 22.07.2021	-
10.0	Compliance Officer	To align with Master Direction – Know Your Customer (KYC) Direction, 2016 (Updated as on May 10, 2021)	12.05.2022
11.0	Compliance Officer	To align with Prevention of Money-laundering (Maintenance of Records) Amendment Rules, 2023	10.04.2023
12.0	Compliance Officer	Changes in line with amendments to RBI KYC guidelines	24.07.2023
13.0	Chief Compliance Officer	To align with Master Direction – Know Your Customer (KYC) Direction, 2016 (Updated as on 17 October 2023)	20.10.2023
14.0	Chief Compliance Officer	To align with Master Direction – Know Your Customer (KYC) Direction, 2016 (Updated as on 04 January 2024)	18.01.2024
15.0	Chief Compliance Officer	To align with Master Direction – Know Your Customer (KYC) Direction, 2016(Updated as on 04 January 2024)	29.04.2024
16.0	Chief Compliance Officer	To align with Master Direction – Know Your Customer (KYC) Direction, 2016(Updated as on 06 November 2024)	25.04.2025

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ANNEXURE I - DIGITAL KYC PROCESS

- A. The Company shall develop an application for digital KYC process which shall be made available at customer touch points for undertaking KYC of their customers and the KYC process shall be undertaken only through this authenticated application of the Company.
- B. The access of the Application shall be controlled by the Company, and it should be ensured that the same is not used by unauthorized persons. The Application shall be accessed only through login-id and password, or Live OTP or Time OTP controlled mechanism given by Company to its authorized officials.
- C. The customer, for the purpose of KYC, shall visit the location of the authorized official of the Company or vice-versa. The original OVD shall be in possession of the customer.
- D. The Company shall ensure that the Live photograph of the customer is taken by the authorized officer and the same photograph is embedded in the Customer Application Form (CAF). Further, the system Application of the Company shall put a water-mark in readable form having CAF number, GPS coordinates, authorized official's name, unique employee Code (assigned by Company) and Date (DD:MM:YYYY) and time stamp (HH:MM:SS) on the captured live photograph of the customer.
- E. The Application of the Company shall have the feature that only live photograph of the customer is captured and no printed or video-graphed photograph of the customer is captured. The background behind the customer while capturing live photograph should be of white colour and no other person shall come into the frame while capturing the live photograph of the customer.
- F. Similarly, the live photograph of the original OVD or proof of possession of Aadhaar where offline verification cannot be carried out (placed horizontally), shall be captured vertically from above and water-marking in readable form as mentioned above shall be done. No skew or tilt in the mobile device shall be there while capturing the live photograph of the original documents.
- G. The live photograph of the customer and his original documents shall be captured in proper light so that they are clearly readable and identifiable.
- H. Thereafter, all the entries in the CAF shall be filled as per the documents and information furnished by the customer. In those documents where Quick Response (QR) code is available, such details can be auto-populated by scanning the QR code instead of manual filing the details. For example, in case of physical Aadhaar/e- Aadhaar downloaded from UIDAI where QR code is available, the details like name, gender, date of birth and address can be auto-populated by scanning the QR available on Aadhaar/e-Aadhaar.
- I. Once the above-mentioned process is completed, a One Time Password (OTP) message containing the text that 'Please verify the details filled in form before sharing OTP' shall be sent to customer's own mobile number. Upon successful validation of the OTP, it will be treated as customer signature on CAF. However, if the customer does not have his/her own mobile number, then mobile number of his/her family/relatives/known persons may be used for this purpose and be clearly mentioned in CAF. In any case, the mobile number of authorized officers registered with the Company shall not be used for customer's signature. The Company must check that the mobile number used in customer signature shall not be the mobile number of the authorized officer.
- J. The authorized officer shall provide a declaration about the capturing of the live photograph of customer and the original document. For this purpose, the authorized official shall be verified with

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One Time Password (OTP) which will be sent to his mobile number registered with the Company. Upon successful OTP validation, it shall be treated as authorized officer's signature on the declaration. The live photograph of the authorized official shall also be captured in this authorized officer's declaration.

- K. Subsequent to all these activities, the Application shall give information about the completion of the process and submission of activation request to activation officer of the Company and also generate the transaction-id/reference-id number of the process. The authorized officer shall intimate the details regarding transaction- id/reference-id number to customer for future reference.
- L. The authorized officer of the Company shall check and verify that:- (i) information available in the picture of document is matching with the information entered by authorized officer in CAF. (ii) live photograph of the customer matches with the photo available in the document.; and (iii) all of the necessary details in CAF including mandatory field are filled properly.
- M. On Successful verification, the CAF shall be digitally signed by authorized officer of the Company who will take a print of CAF, get signatures/thumb-impression of customer at appropriate place, then scan and upload the same in system. Original hard copy may be returned to the customer.

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ANNEXURE II- VIDEO-CUSTOMER IDENTIFICATION PROCESS

The Company may undertake V-CIP to carry out =

- A. CDD in case of new customer on-boarding for individual customers, proprietor in case of proprietorship firm, authorized signatories and Beneficial Owners (Bos) in case of Legal Entity (LE) customers. Provided that in case of CDD of a proprietorship firm, Company shall also obtain the equivalent e-document of the activity proofs with respect to the proprietorship firm, as mentioned in paragraph 28, apart from undertaking CDD of the proprietor.
- B. Conversion of existing accounts opened in non-face to face mode using Aadhaar OTP based e-KYC authentication as per paragraph 17.
- C. Updation/Periodic updation of KYC for eligible customer.
- D. V-CIP Infrastructure:-
 - i. The Company should have complied with the RBI guidelines on minimum baseline cyber security and resilience framework for banks, as updated from time to time as well as other general guidelines on IT risks. The technology infrastructure should be housed in own premises of the Company and the V-CIP connection and interaction shall necessarily originate from its own secured network domain. Any technology related outsourcing for the process should be compliant with relevant RBI guidelines. Where cloud deployment model is used, it shall be ensured that the ownership of data in such model rests with the RE only and all the data including video recording is transferred to the RE's exclusively owned / leased server(s) including cloud server, if any, immediately after the V-CIP process is completed and no data shall be retained by the cloud service provider or third-party technology provider assisting the V-CIP of the RE.
 - ii. The Company shall ensure end-to-end encryption of data between customer device and the hosting point of the V-CIP application, as per appropriate encryption standards. The customer consent should be recorded in an auditable and alteration proof manner.
 - iii. The V-CIP infrastructure / application should be capable of preventing connection from IP addresses outside India or from spoofed IP addresses.
 - iv. The video recordings should contain the live GPS co-ordinates (geo-tagging) of the customer undertaking the V-CIP and date-time stamp. The quality of the live video in the V-CIP shall be adequate to allow identification of the customer beyond doubt.

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- v. The application shall have components with face liveness / spoof detection as well as face matching technology with high degree of accuracy, even though the ultimate responsibility of any customer identification rests with the Company. Appropriate artificial intelligence (AI) technology can be used to ensure that the V-CIP is robust.
- vi. Based on experience of detected / attempted / 'near-miss' cases of forged identity, the technology infrastructure including application software as well as work flows shall be regularly upgraded. Any detected case of forged identity through V-CIP shall be reported as a cyber security event under extant regulatory guidelines.
- vii. The V-CIP infrastructure shall undergo necessary tests such as Vulnerability Assessment, Penetration testing and a Security Audit to ensure its robustness and end-to-end encryption capabilities. Any critical gap reported under this process shall be mitigated before rolling out its implementation. Such tests should be conducted by the empaneled auditors of Indian Computer Emergency Response Team (CERT-In). Such tests should also be carried out periodically in conformance to internal / regulatory guidelines.
- viii. The V-CIP application software and relevant APIs / webservices shall also undergo appropriate testing of functional, performance, maintenance strength before being used in live environment. Only after closure of any critical gap found during such tests, the application should be rolled out. Such tests shall also be carried out periodically in conformity with internal/ regulatory guidelines.

E. V-CIP Procedure:-

(i) Each Company shall formulate a clear workflow and standard operating procedure for V-CIP and ensure adherence to it. The V-CIP process shall be operated only by officials of the Company specially trained for this purpose. The official should be capable to carry out liveliness check and detect any other fraudulent manipulation or suspicious conduct of the customer and act upon it.

(ii) Disruption of any sort including pausing of video, reconnecting calls, etc., should not result in creation of multiple video files. If pause or disruption is not leading to the creation of multiple files, then there is no need to initiate a fresh session by the RE. However, in case of call drop / disconnection, fresh session shall be initiated.

(iii) The sequence and/or type of questions, including those indicating the liveness of the interaction, during video interactions shall be varied in order to establish that the interactions are real-time and not pre-recorded.

(iv) Any prompting observed at end of customer shall lead to rejection of the account opening process.

(v) The fact of the V-CIP customer being an existing or new customer, or if it relates to a case rejected earlier or if the name appearing in some negative list should be factored in at appropriate stage of workflow.

(vi) The authorized official of the Company performing the V-CIP shall record audio-video as well as capture photograph of the customer present for identification and obtain the identification information using any one of the following:

- a) OTP based Aadhaar e-KYC authentication;

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- b) Offline Verification of Aadhaar for identification;
- c) KYC records downloaded from CKYCR, in accordance with paragraph 56, using the KYC identifier provided by the Customer; and
- d) Equivalent e-document of Officially Valid Documents (OVDs) including documents issued through Digi Locker Company shall ensure to redact or blackout the Aadhaar number in terms of paragraph 16. In case of offline verification of Aadhaar using XML file or Aadhaar Secure QR Code, it shall be ensured that the XML file or QR code generation date is not older than 3 days from the date of carrying out V-CIP.

Further, in line with the prescribed period of 3 (three) working days for usage of Aadhaar XML file/ Aadhaar QR code, Company shall ensure that the video process of the V-CIP is undertaken within 3 (three) working days of downloading/ obtaining the identification information through CKYCR/ Aadhaar authentication/ equivalent e-document, if in the rare cases, the entire process cannot be completed at one go or seamlessly. However, Company shall ensure that no incremental risk is added due to this.

(vii) If the address of the customer is different from that indicated in the OVD, suitable records of the current address shall be captured, as per the existing requirement. It shall be ensured that the economic and financial profile/information submitted by the customer is also confirmed from the customer undertaking the V-CIP in a suitable manner.

(viii) The Company shall capture a clear image of PAN card to be displayed by the customer during the process, except in cases where e-PAN is provided by the customer. The PAN details shall be verified from the database of the issuing authority including through Digi Locker.

(ix) Use of printed copy of equivalent e-documents including e-PAN is not valid for the V-CIP.

(x) The authorized official of the Company shall ensure that photograph of the customer in the Aadhaar/OVD and PAN/e-PAN matches with the customer undertaking the V-CIP and the identification details in Aadhaar/OVD and PAN/e-PAN shall match with the details provided by the customer.

(xi) All accounts opened through V-CIP shall be made operational only after being subject to concurrent audit, to ensure the integrity of process and its acceptability of the outcome.

(xii) All matters not specified under the paragraph but required under other statutes such as the Information Technology (IT) Act shall be appropriately complied with by the Company.

F. V-CIP Records and Data Management: -

(i) The entire data and recordings of V-CIP shall be stored in system(s) located in India. The Company shall ensure that the video recording is stored in a safe and secure manner and bears the date and time stamp that affords easy historical data search. The extant instructions on record management, as stipulated in this Policy, shall also be applicable for V-CIP.

(ii) The activity log along with the credentials of the official performing the V-CIP shall be preserved.

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Annexure III- PROCESS OF OFFLINE VERIFICATION

UIDAI has launched Aadhaar Paperless Offline e-KYC Verification to allow Aadhaar number holders to voluntarily use it for establishing their identity in various applications in paperless and electronic fashion, while still maintaining privacy, security, and inclusion.

UIDAI provides a mechanism to verify identity of an Aadhaar number holder through an online electronic KYC service. The e-KYC service provides an authenticated instant verification of identity and significantly lowers the cost of paper-based verification and KYC.

However, this method of online e-KYC is not available to all agencies and may not be suitable due to some of the following reasons:

- Online e-KYC requires reliable connectivity.
- Agency needs to have technical infrastructure to call online e-KYC service and deploy devices (as necessary).
- The residents may need to provide biometrics for the online e-KYC.
- UIDAI maintains a record of the KYC request for audit purposes.

A. Advantages of Aadhaar Paperless Offline e-KYC Privacy:

- KYC data may be shared by the Aadhaar number holder directly without the knowledge of UIDAI.
- Aadhaar number of the resident is not revealed, instead only a reference ID is shared.
- No core biometrics (fingerprints or iris) required for such verification.
- Aadhaar number holder gets a choice of the data (among the demographics data and photo) to be shared.

B. Security:

- Aadhaar KYC data downloadable by Aadhaar number holder is digitally signed by UIDAI to verify authenticity and detect any tampering.
- Agency can validate the data through their own OTP/Face Authentication.
- KYC data is encrypted with the phrase provided by Aadhaar number holder allowing residents control of their data.

C. Inclusion:

- Aadhaar Paperless Offline e-KYC is voluntary and Aadhaar number holder driven.
- Any agency working with people can use it with consent of the Aadhaar number holder allowing wide usage.

Aadhaar Paperless Offline e-KYC eliminates the need for the resident to provide photocopy of Aadhaar letter and instead resident can download the KYC XML and provide the same to agencies wanted to have his/her KYC. The agency can verify the KYC details shared by the residents in a manner explained in below sections. The KYC details is in machine readable XML which is digitally signed by UIDAI allowing agency to verify its authenticity and detect any tampering. The agency can also authenticate the user through their own OTP/Face authentication mechanisms.

How to obtain Aadhaar Paperless Offline e-KYC Data: Aadhaar number holders can obtain Aadhaar Paperless Offline e-KYC data through the following channels:

- Download Aadhaar Paperless Offline e-KYC from resident portal (<https://resident.uidai.gov.in>)
- In future, obtain Aadhaar Paperless Offline e-KYC will also be available via:
 - m-Aadhaar mobile application on a registered phone number
 - Inbound SMS using registered phone number.
 - Aadhaar Kendra using Biometric Authentication

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Annexure IV - POLICY ON CHANGE OF MOBILE NUMBER

The Reserve Bank of India vide their amendment Notification on Master Direction – Know Your Customer (KYC) Direction, 2016 dated April 28, 2023 [RBI/DBR/2015-16/18 Master Direction DBR.AML.BC.No.81/14.01.001/2015-16] has directed Regulated Entities to have a Board approved Policy delineating a robust process of due diligence for dealing with requests for change of mobile number of its customers.

Poonawalla Fincorp Limited (**“PFL”** **” or ”** **“the Company ”**), being a Regulated Entity under the Master Direction – Know Your Customer (KYC) Direction, 2016, is required to have a Board approved Mobile Number Change Policy (**“Policy”**).

This Policy will be read in conjunction with the KYC AML Policy of the Company.

A. Reasons for change in registered Mobile Number

The reasons for this may be multifold including.

- lost sim, deactivation of old number
- customer’s existing mobile no. is incorrect/ Not registered.
- or such other valid reasons as may be accepted by the Company from time to time.

B. Source of Requests:

To request a registered number change, the customer needs to provide a written request through one of the following mechanisms:

- Email addressed to one of the designated email ID of the Company that is used for customer interaction or addressed to any of its directors or Key Employees.
- Email IDs of the Digital Lending Applications that are used for customer interaction.
- A letter addressed to the Company or to any of its directors or Key Employees.
- A request received through any customer portal of any of the governmental authorities.
- Received via social media from an account that is a valid and active account of the customer registered with the Company.
- Inbounds Calls, Customer Care email ID, Branch Walk in, Social Media handles, Grievance Redressal Email ID, RBI, and any other Handles available to customers via official website.

C. Processing of Number change:

For processing the request of number change following documents must be obtained:

- a. Self-attested copy of Officially Valid Document
 - b. Self-attested PAN Card
 - c. Signed request letter.
- D. Restrictions:

Number change request will not be accepted or may be declined in case of the following events:

1. The new number requested already exists as a registered number for another customer.
2. Only one request will be entertained in a 60-day period.
3. Mobile Number and e-mail address cannot be changed at the same time.

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Annexure V- OBLIGATIONS UNDER UAPA ACT, 1967 AND WEAPONS OF MASS DESTRUCTION (WMD) AND THEIR DELIVERY SYSTEMS (PROHIBITION OF UNLAWFUL ACTIVITIES) ACT, 2005 (WMD ACT, 2005)

A. Obligations under the Unlawful Activities (Prevention) (UAPA) Act, 1967:

- i. The Company shall ensure that in terms of Section 51A of the Unlawful Activities (Prevention) (UAPA) Act, 1967 and amendments thereto, they do not have any account in the name of individuals/entities appearing in the lists of individuals and entities, suspected of having terrorist links, which are approved by and periodically circulated by the United Nations Security Council (UNSC). The details of the two lists are as under:
 - The **“ISIL (Da’esh) & Al-Qaida Sanctions List”**, established and maintained pursuant to Security Council resolutions 1267/1989/2253, which includes names of individuals and entities associated with the Al-Qaida is available at <https://scsanctions.un.org/ohz5jen-al-qaida.html>
 - The **“Taliban Sanctions List”**, established and maintained pursuant to Security Council resolution 1988 (2011), which includes names of individuals and entities associated with the Taliban is available at <https://scsanctions.un.org/3ppp1en-taliban.htm>
- ii. The Company shall also ensure to refer to the lists as available in the Schedules to the Prevention and Suppression of Terrorism (Implementation of Security Council Resolutions) Order, 2007, as amended from time to time. The aforementioned lists, i.e., UNSC Sanctions Lists and lists as available in the Schedules to the Prevention and Suppression of Terrorism (Implementation of Security Council Resolutions) Order, 2007, as amended from time to time, shall be verified on daily basis and any modifications to the lists in terms of additions, deletions or other changes shall be taken into account by the Company for meticulous compliance.
- iii. Details of accounts resembling any of the individuals/entities in the lists shall be reported to FIU-IND apart from advising Ministry of Home Affairs (MHA) as required under UAPA notification dated February 2, 2021.
- iv. Freezing of Assets under Section 51A of UAPA, 1967: The procedure laid down in the UAPA Order dated February 2, 2021, shall be strictly followed and meticulous compliance with the Order issued by the Government shall be ensured. The list of Nodal Officers for UAPA is available on the website of MHA.

B. Obligations under Weapons of Mass Destruction (WMD) and their Delivery Systems (Prohibition of Unlawful Activities) Act, 2005 (WMD Act, 2005):

- i. The Company shall ensure meticulous compliance with the “Procedure for Implementation of Section 12A of the Weapons of Mass Destruction (WMD) and their Delivery Systems (Prohibition of Unlawful Activities) Act, 2005” laid down in terms of Section 12A of the WMD Act, 2005 vide Order dated January 30, 2023, by the Ministry of Finance, Government of India.
- ii. In accordance with paragraph 3 of the aforementioned Order, Company shall ensure not to carry out transactions in case the particulars of the individual / entity match with the particulars in the designated list.
- iii. Further, Company shall run a check, on the given parameters, at the time of establishing a relation with a customer and on a periodic basis to verify whether individuals and entities in the designated list are holding any funds, financial asset, etc., in the form of bank account, etc.
- iv. In case of match in the above cases, Company shall immediately inform the transaction details with

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full particulars of the funds, financial assets or economic resources involved to the Central Nodal Officer (CNO), designated as the authority to exercise powers under Section 12A of the WMD Act, 2005. A copy of the communication shall be sent to State Nodal Officer, where the account / transaction is held and to the RBI. The Company shall file an STR with FIU-IND covering all transactions in the accounts, covered above, carried through or attempted. It may be noted that in terms of Paragraph 1 of the Order, Director, FIU-India has been designated as the CNO.

- v. Company may refer to the designated list, as amended from time to time, available on the portal of FIU-India.
- vi. In case there are reasons to believe beyond doubt that funds or assets held by a customer would fall under the purview of clause (a) or (b) of sub-section (2) of Section 12A of the WMD Act, 2005, Company shall prevent such individual/entity from conducting financial transactions, under intimation to the CNO by email, FAX and by post, without delay.
- vii. In case an order to freeze assets under Section 12A is received by the Company from the CNO, the Company shall, without delay, take the necessary action to comply with the Order.
- viii. The process of unfreezing of funds, etc., shall be observed as per paragraph 7 of the Order. Accordingly, copy of application received from an individual/entity regarding unfreezing shall be forwarded by RE along with full details of the asset frozen, as given by the applicant, to the CNO by email, FAX and by post, within two working days.

C. Company shall verify every day, the 'UNSCR 1718 Sanctions List of Designated Individuals and Entities', as available at <https://www.mea.gov.in/Implementation-of-UNSC-Sanctions-DPRK.htm>, to take into account any modifications to the list in terms of additions, deletions or other changes and also ensure compliance with the 'Implementation of Security Council Resolution on Democratic People's Republic of Korea Order, 2017', as amended from time to time by the Central Government.

D. In addition to the above, the Company shall take into account – (a) other UNSCRs and (b) lists in the first schedule and the fourth schedule of UAPA, 1967 and any amendments to the same for compliance with the Government orders on implementation of Section 51A of the UAPA and Section 12A of the WMD Act.

For the purpose of Compliance with the above norms, the Company may consider adopting appropriate innovations including artificial intelligence and machine learning (AI & ML) technologies to support effective monitoring.